THE QUANTAMENTAL ENGINE: SYSTEMATIZING HIGH-ALPHA SWING TRADING

A visual blueprint for integrating fundamental screening, technical execution, and strict mathematical risk management to maximize asymmetric returns.

METRIC	VALUE	STATUS
P/E RATIO	15.4x	ATTRACTIVE
PEG RATIO	0.85	UNDERVALUED
EPS GROWTH (YOY)	+22.5%	STRONG
DEBT/EQUITY	0.45	HEALTHY
FCF YIELD	6.2%	HIGH
ROCE	18.9%	EFFICIENT
SECTOR RANK	TOP 10%	LEADING

SIGNAL	TYPE	LEVEL
MA CROSSOVER	BULLISH	50 > 200 DMA
RSI (14)	OVERSOLD	32.5
MACD	CONVERGENCE	POSITIVE DIVERGENCE
BOLLINGER BANDS	SQUEEZE	CONTRACTION
VOLUME	SURGE	1.5x AVG
SUPPORT ZONE	STRONG	$145.50
RESISTANCE TARGET	KEY	$178.00

PARANETER	SETTING
MAX DRAWDOWN	< 12%
POSITION SIZE	2% NAV
STOP LOSS	ATR BASED (2.5x)
TAKE PROFIT	FIBONACCI (1.618)
RISK/REMARD	> 1:3
KELLY CRITERION	0.15

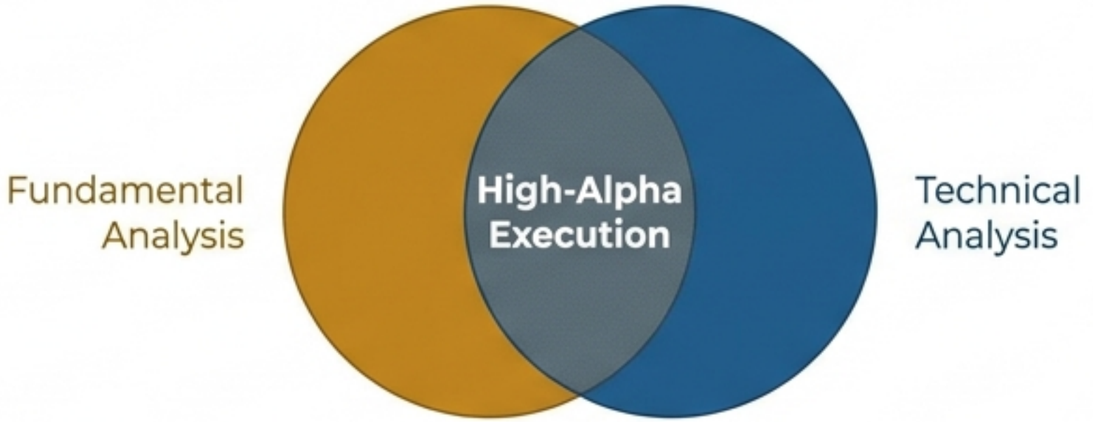
SYSTEM ACTIVATION



STATUS: ACTIVE | MODE: QUANTARENTAL EXECUTION

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The Dual-Filter Philosophy



Fundamental Analysis	Technical Analysis	The Quantamental Hybrid
The “Why”	The “When”	The “Edge”
Focus: Intrinsic value, EPS, ROE	**Focus:** Price action, patterns, trends	By combining both disciplines, the system actively eliminates value traps and whipsaws. Capital is only deployed into fundanntally robust companies at the exact moment institutional momentum accelerates.
Weakness: Value Traps (Cheap stocks that stay cheap without institutional interest).	**Weakness:** False Breakouts (Whipsaws lacking underlying fundamental fuel).	

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System Architecture Overview

Pillar 1: Fundamental Quality



The Base: What to Buy

- Filtering for earnings growth engines, robust financial financial health, and superior capital efficiency.

Pillar 2: Technical Alignment



The Structure: When to Buy

- Identifying Stage 2 uptrends, price momentum, and volatility contraction patation patterns (VCP).



Pillar 3: Execution Protocol



The Apex: How to Manage

- Deploying volatility-adjusted stops, Kelly Criterion position sizing, and dual-tranche profit exits.



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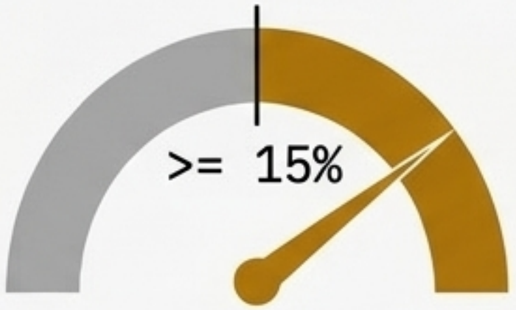
Fundamental Parameters: Growth & Efficiency

EPS Growth



The primary driver of explosive share price appreciation. Ideal >40% YoY or accelerating.

Revenue Growth



Proves earnings come from genuine top-line expansion, not accounting adjustments or cost-cutting.

Return on Equity (ROE)



Indicates highly efficient management of shareholder capital by corporate leadership.

Return on Capital Employed (ROCE)

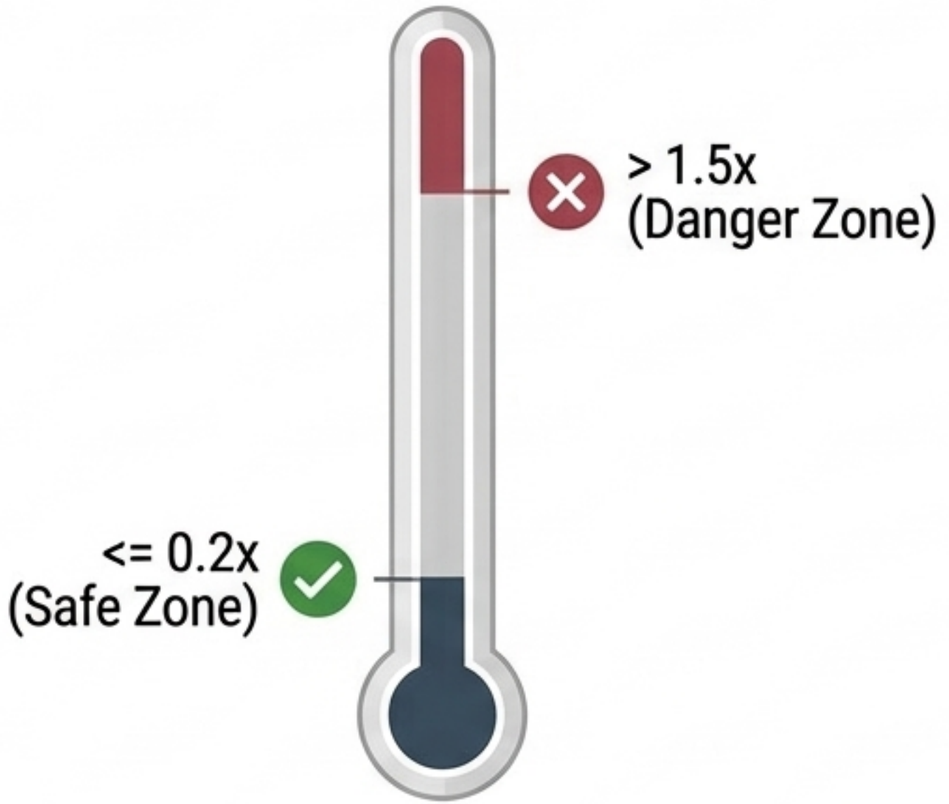


Signals superior operational cash flow generation relative to total deployed capital.

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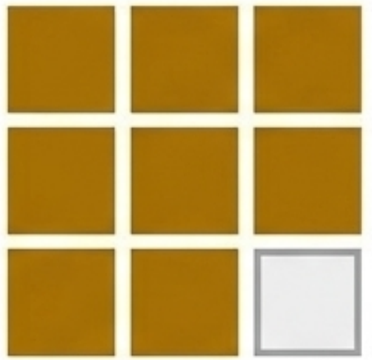
Fundamental Parameters: Health & Safety

Leverage Filter



Excludes overleveraged balance sheets that amplify drawdown risk and bankruptcy potential.

Piotroski F-Score



Target Score: 8 or 9 out of 9

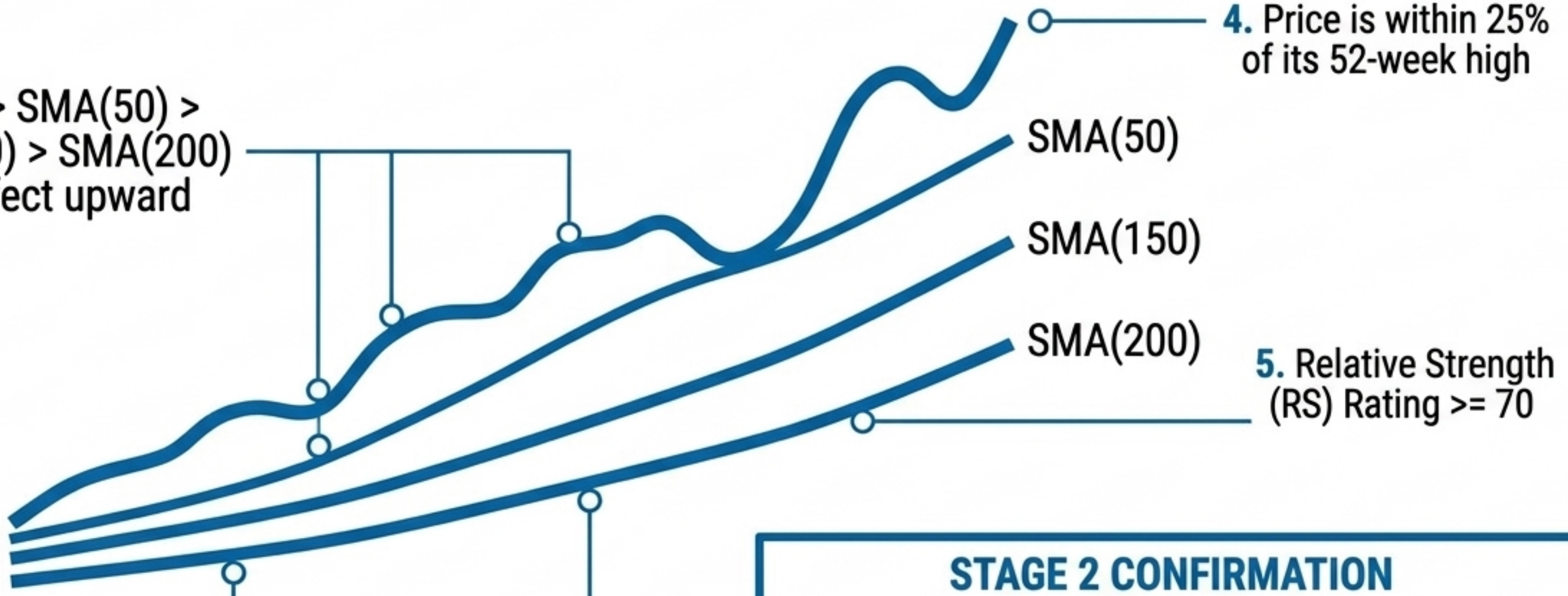
Category 1: Profitability (Positive ROA, Cash Flow > Net Income)
Category 2: Leverage/Liquidity (Declining debt, improving current ratio)
Category 3: Operating Efficiency (Improving gross margin, asset turnover)

A score of 8-9 signals elite financial health and drastically reduces fundamental downside.

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Technical Parameters: The Macro Trend

Minervini 8-Point Trend Ladder

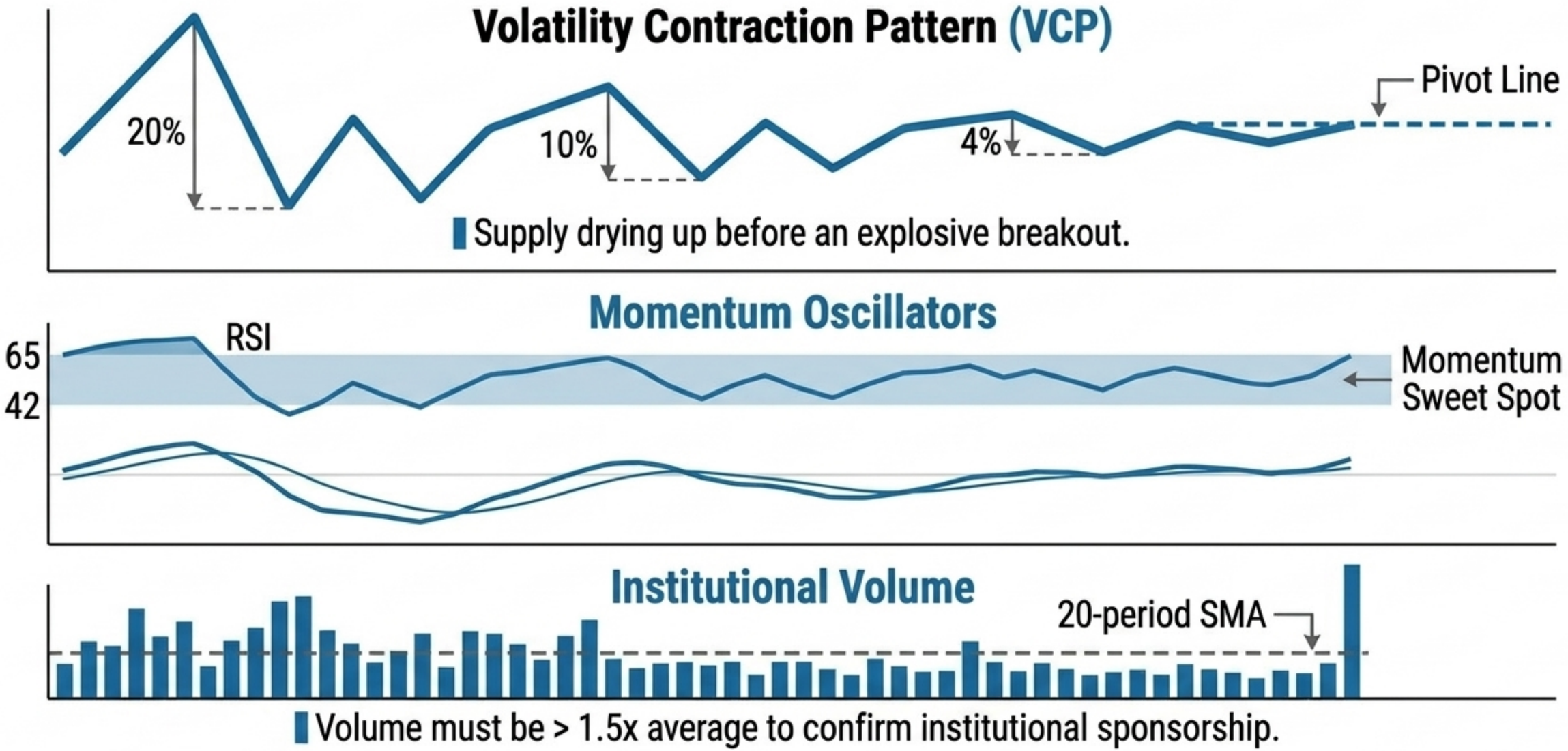


STAGE 2 CONFIRMATION

A stock must satisfy **ALL** criteria simultaneously. This structural alignment confirms a Stage 2 Markup Phase where institutional accumulation dictates price action.

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Technical Parameters: Momentum & Structure



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SYNTHESIS: The 100-Point Weighting Matrix

Fundamental Scoring (50 points)	
Financial Health (F-Score 8-9):	**15 pts**
Growth Momentum (EPS >= 40%):	**15 pts**
Capital Efficiency (ROE >= 17% & ROIC >= 15%):	**10 pts**
Valuation Composite (Top Decile):	**10 pts**

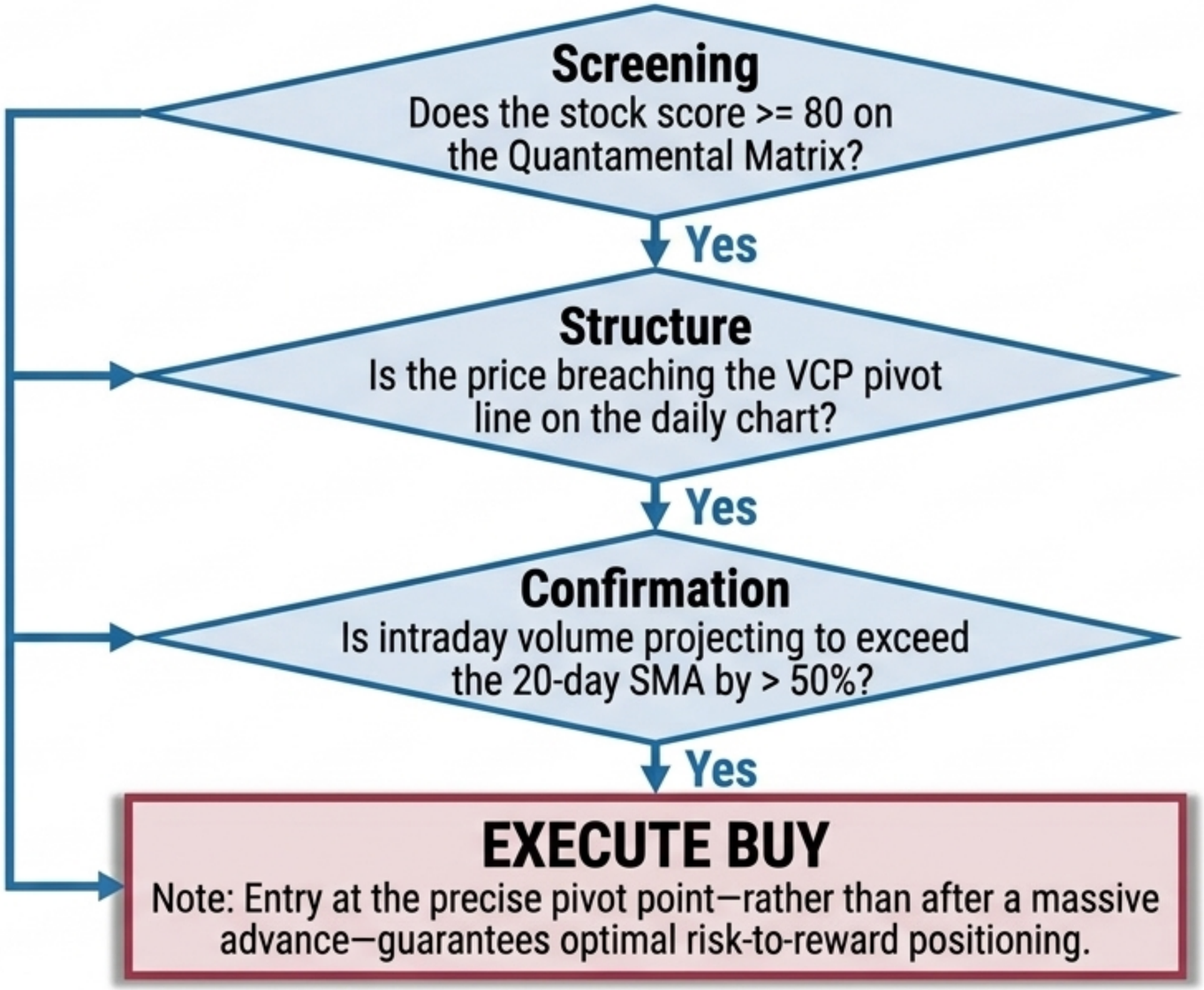
Technical Scoring (50 points)	
Macro Trend (Minervini 8-Point Met):	**20 pts**
Accumulation Structure (VCP/Tight base):	**15 pts**
Momentum & Volume (RSI 55-65, MACD cross):	**15 pts**

SYSTEM TRIGGER: TOTAL SCORE >= 80 POINTS TO QUALIFY FOR PORTFOLIO ENTRY

Global Style Description: Diagnostic Matrix | High-Alpha Execution

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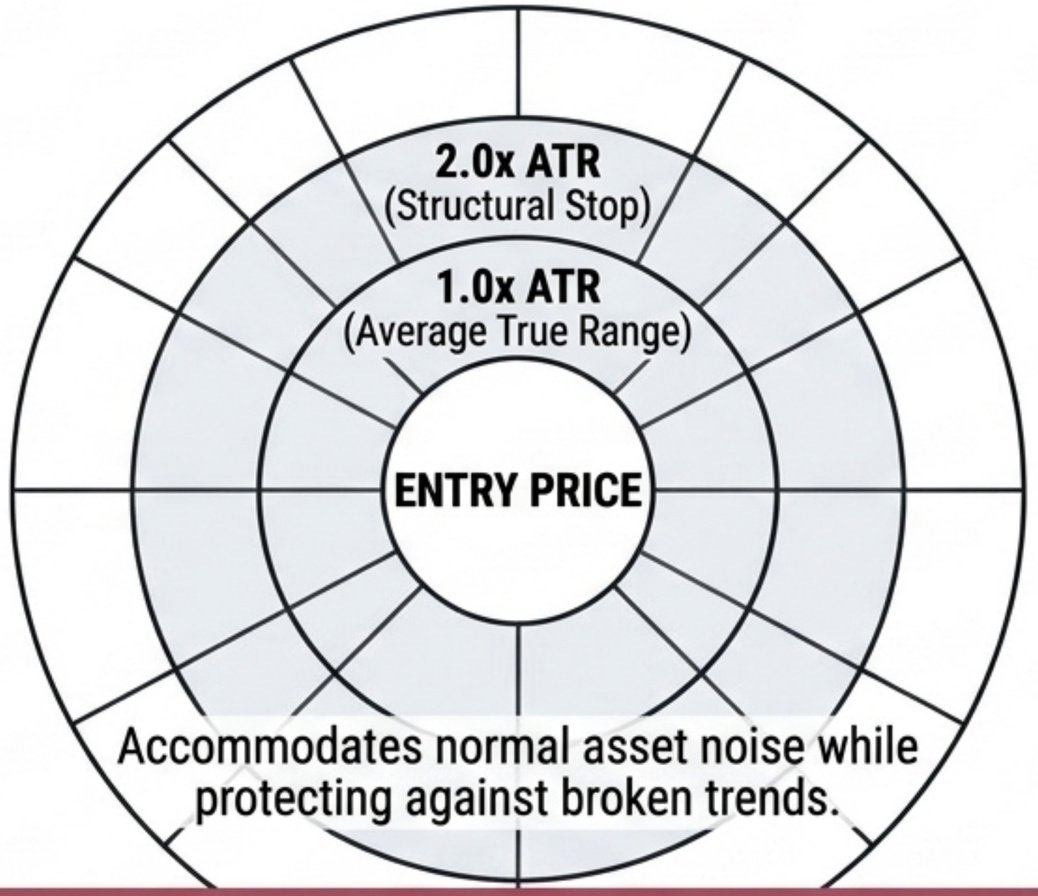
The BUY Protocol: Entry Execution



Global Style Description: Diagnostic Matrix | High-Alpha Execution

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Capital Protection: Volatility-Adjusted Stops



ATR smooths 14 periods of extreme price movement to define the stock's natural volatility signature.

THE HARD STOP: -7% to -8%

The absolute portfolio safety valve. If price hits this boundary before the ATR stop, the position is automatically liquidated to prevent account ruin. No exceptions.

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Capital Allocation: Position Sizing & Optimization

Visual Equation 1: Standard Risk Budgeting

$$[\text{Position Size}] = ([\text{Total Capital}] \times [\text{1\% Risk}]) / [\text{Entry Price}] - [\text{Stop-Loss Price}]$$

- **[Position Size]**: Calculated number of shares/units
- **[Total Capital]**: Total account equity
- **[1% Risk]**: Fixed percentage of capital to risk per trade (e.g., 0.01)
- **[Entry Price]**: Price at execution
- **[Stop-Loss Price]**: Pre-defined exit price for loss

Wider stop-loss distances mathematically force smaller position sizes, keeping exact dollar risk perfectly constant.

Visual Equation 2: The Kelly Criterion

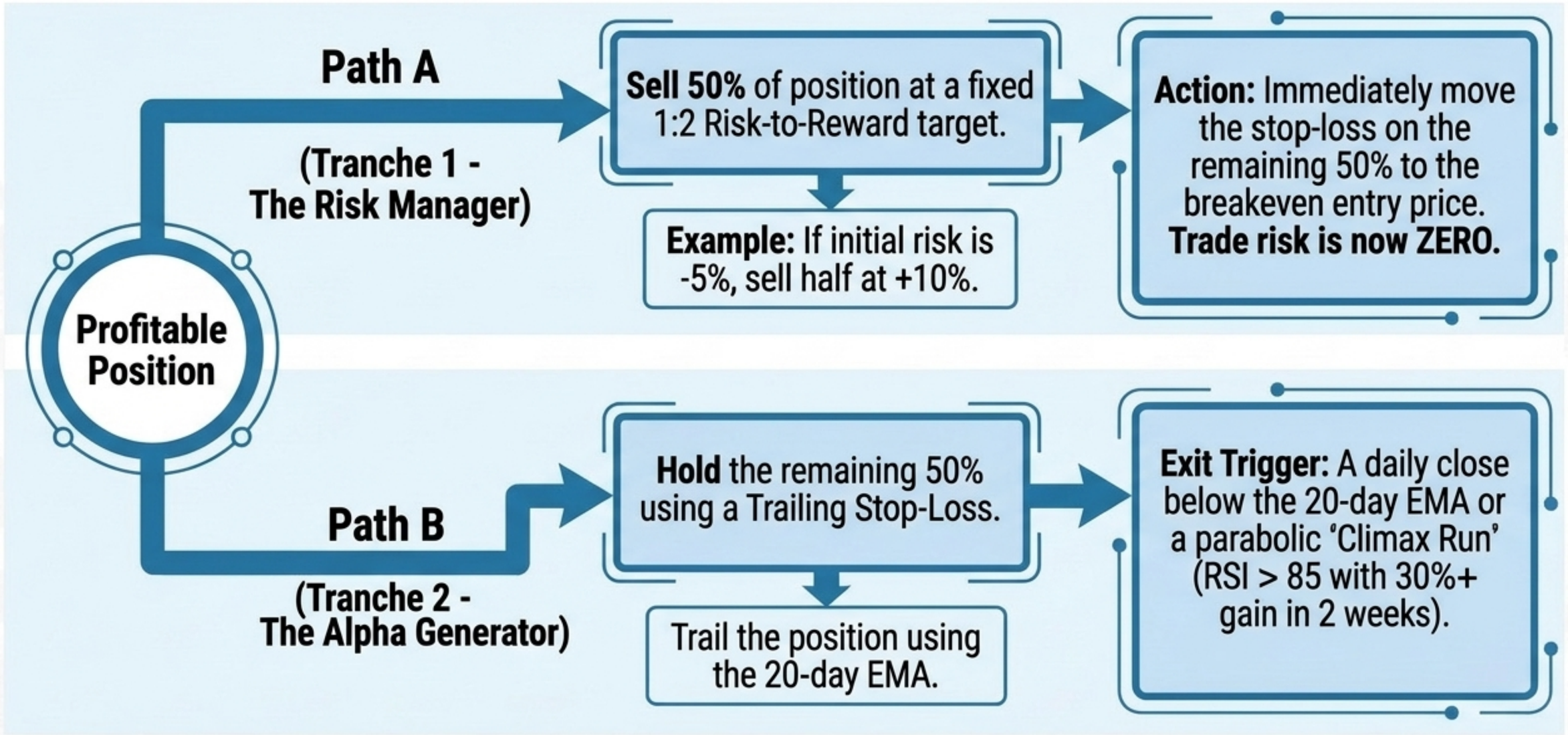
$$[K^*] = [W] - ([1 - W] / [\text{R:R Ratio}])$$

- **K*** = Optimal Capital Fraction
- **W** = Win-Rate (e.g., 0.45)
- **[1 – W]**: Probability of Loss
- **R:R** = Reward-to-Risk (e.g., 2.0)

Calculates the mathematically optimal maximum capital to risk to maximize geometric growth without risking ruin.

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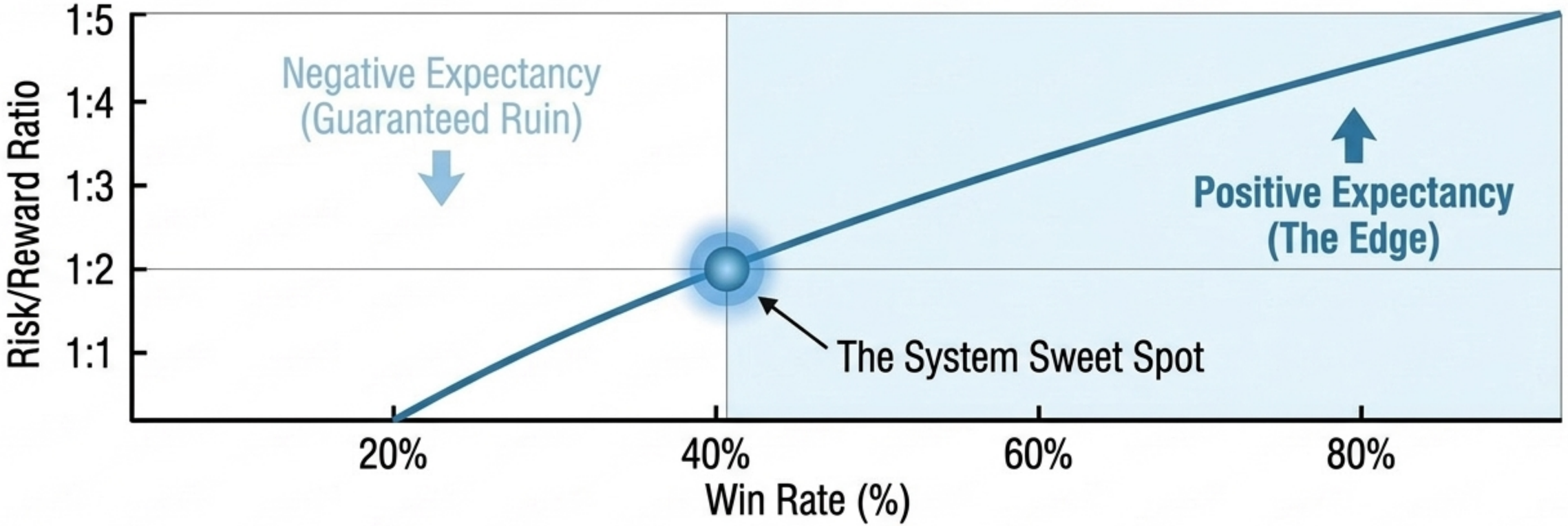
The SELL Protocol: Dual-Tranche Exit Strategy



Global Style Description: Diagnostic Matrix | High-Alpha Execution

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Mathematical Expectancy: The Statistical Edge



Expectancy (E) = (W x R) - (L x C)

Because the system strictly cuts losses at 1R and locks in 2R to 3R gains, the trader only needs to be right ~40% of the time to generate consistent, compounding portfolio growth.

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Portfolio Level Risk: Regime Filtering



Risk-On
(Index > 200-day SMA)

The Quantamental Engine is fully deployed.

100% of standard position sizing.

Capital Preservation
(Index Consolidating)

Number of qualifying setups shrinks.
Position sizing halves.
Stricter fundamental requirements.

System Halt
(Index < 200-day SMA)

Trend templates fail. The portfolio rotates heavily to cash, protecting capital during bear markets to deploy at the next cycle bottom.

Global Style Description: Diagnostic Matrix | High-Alpha Execution

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The End-to-End Execution Checklist

Screening (The What)

- [ ] EPS Growth >= 25%
- [ ] ROE >= 17%
- [ ] Debt/Equity <= 0.2x
- [ ] Piotroski F-Score 8-9

Alignment (The When)

- [ ] Minervini 8-Point Stack
- [ ] VCP Base Formed
- [ ] RSI 42-65 Sweet Spot
- [ ] Volume Surge > 20-SMA

The Matrix

- [ ] 50/50 Weighting Applied
- [ ] Total Score >= 80

Execution (The How)

- [ ] Risk Fixed at 1% to 2%
- [ ] Stop at 2.0x ATR
- [ ] Sell 50% at 1:2 R:R
- [ ] Trail Remainder on 20-EMA

Systematize the inputs. Quantify the risk. Automate the execution.

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